



PERFORMANCE EVALUATION OF THE BOARD OF DIRECTORS

POLICY 04-2014

PURPOSE: To establish guidelines in the evaluation of the performance of the Board of Directors in compliance with the requirements as provided for by the implementing rules and guidelines of R.A10531.

INTRODUCTION:

RA 10531, also known as the National Electrification Administration Reform Act of 2013, was promulgated which established a national policy to empower and enable electric cooperatives to cope with the changes brought about by the restructuring of the electric power industry pursuant to Republic Act No. 9136, otherwise known as the "Electric Power Industry Reform Act of 2001."

Section 12 of RA 10531 provides that the NEA shall have the authority over electric cooperatives to require the submission of reportorial requirements as may be necessary relative to their operations as electric distribution utilities. One of the reportorial requirements is the regular submission to NEA of the key performance on good governance by the board of directors of electric cooperatives.

POLICIES:

To sustain quality of the Board of Directors and comply with the requirements as set by the various regulators of BENECO, it shall be the policy to subject the Board of Directors evaluation based standard parameters to measure their performance relative to the effective execution of their duties and responsibilities as well as compliance with the continuing qualification requirements.

PROCEDURES:

1. Semi-annually, a Committee shall evaluate the performance of the Board based on good governance standards expected of the Board of electric cooperatives. To synchronize schedule of performance evaluation of the Board, the evaluation for all members of the Board shall be conducted every May and November following the semester of the period to be evaluated. Only those who served the full six months preceding the evaluation period shall be evaluated.
2. The Board shall be evaluated based on the following parameters with corresponding percentage points:

A. ATTENDANCE/PERFORMANCE OF MANDATORY ACTIVITIES

CRITERIA	POINTS	REMARKS
ATTENDANCE TO BOARD MEETINGS	20	SCORE is No. of meetings attended / No. of meetings held
ATTENDANCE TO AGMA	10	SCORE is either 10 or Zero
ATTENDANCE TO EPIRA 101 SEMINAR	2	Preferably to be complied within one year but subject to availability of scheduled seminars (SCORE is either 2 or Zero)
ATTENDANCE TO CMC 1 SEMINAR	2	
ATTENDANCE TO CMC 2 SEMINAR	2	
ATTENDANCE TO CMC 3 SEMINAR	2	
ATTENDANCE TO CCCD SEMINAR	2	
CONDUCTED IEC ACTIVITIES	10	At least two (2) IEC activities per month to get full points
TOTAL POINTS	50	



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B. BOARD RESOLUTIONS/POLICIES APPROVED GEARED TOWARDS THE IMPROVEMENT OF EC OPERATION

PERCENTAGE OF RESOLUTIONS APPROVED	Points
80% & ABOVE	10
61% TO 79%	8
41% TO 60%	6
21% TO 40%	4
ZERO TO 20%	2

C. STRATEGIC INITIATIVES

CRITERIA	POINTS	REMARKS
PROGRAMS	10	AT LEAST ONE ACTIVITY TO GET FULL POINT
PROJECTS		
INNOVATIONS		

D. LEADERSHIP FUNCTIONS

CRITERIA	POINTS	REMARKS
NO DECISION ADVERSE TO THE BOARD IN AN ADMINISTRATIVE CASE DURING THE PERIOD OF PERFORMANCE EVALUATION	10	SCORE is either 10 or Zero

E. POWER ACCOUNTS & CASH ADVANCES

CRITERIA	POINTS	REMARKS
UPDATED POWER BILL ACCOUNTS	10	SCORE is either 10 or Zero
UPDATED CASH ADVANCE	10	SCORE is either 10 or Zero

GRAND TOTAL POINTS	100
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- The Committee shall composed of the following:
 - Two (2) Representatives from the Management
 - One (1) Representative of the BELU
 - One (1) Representative of the BSA
 - President of MSEAC
- Each member of the Board shall individually evaluated by the Committee based on the aforecited criteria. The overall performance of the Board shall be the average rating of the individual Board.
- The Committee shall submit the Performance Evaluation of the Board every 2nd Regular Meeting on the months of July and January. The documentation of the deliberations on the Committee's evaluation shall be contained in a resolution.
- The result of the Performance Evaluation of the Board shall be transmitted to the National Electrification Administration through a resolution and the same shall be presented to the member-consumers during the Annual General Membership Assemblies.



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7. The accumulated grand total points shall be rated as follows :

95-100 pts	<i>EXCELLENT. Performance is superior on all major job requirements rarely achieved by others</i>
85-94 pts	<i>VERY SATISFACTORY. Performance fully acceptable. Frequently exceeds some major job requirements.</i>
75-84 pts	<i>SATISFACTORY. Performance acceptable. Meets minimum job requirements. Improvement is essential to meet minimum job requirements.</i>
below 75 pts	<i>UNSATISFACTORY. Performance is unacceptable. Does not meet minimum requirements.</i>

8. Should the accumulated grand total points of the Board of Director falls below Satisfactory, the Committee shall recommend corresponding actions or plans required for the Board of Director to improve his performance.
9. The Committee shall conduct a review of the criteria and evaluation methodology in objectively assessing the performance of the Board of Directors when deemed necessary to address the prevailing current demands in the industry.

IMPLEMENTATION:

The General Manager shall be responsible for the implementation of this policy.

EFFECTIVITY: This policy shall take effect upon approval.

APPROVAL : Approved by the Board of Directors through **Resolution No. 94-2014** passed during its Board Meeting held on August 26, 2014.

Certified True and Correct:

FERDY K. BAYASEN
Secretary

Noted by:

PETER B. BUSAING
President



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